

**Custodian** Either (1) a bank, agent, trust company, or other organization responsible for safeguarding financial assets or (2) the individual who oversees the mutual fund assets of a minor's custodial account.

**Declaration Date** The date when the board of directors of a company or mutual fund announces the amount and date of the entity's next dividend payment.

**Default** Failure to pay principal or interest when it is due.

**Depreciation** A decrease in the value of an investment.

**Derivative** A financial contract whose value is based on, or "derived" from, a traditional security (such as a stock or bond), an asset (such as a commodity), or a market index (such as the S&P 500 Index).

**Discount Broker** A brokerage firm that executes orders to buy and sell securities at commission rates lower than those of a full-service brokerage.

**Distributions** Either (1) withdrawals made by the owner from an individual retirement account (IRA) or (2) payments of dividends and/or capital gains by a mutual fund.

**Dividend Reinvestment Plan** The automatic reinvestment of shareholder dividends in more shares of the company's stock.

**Dividend Yield** The annual rate of return on a share of stock, determined by dividing the annual dividend by the current share price. In a stock mutual fund, this figure represents the average dividend yield of the stocks held by the fund.

**Dollar Cost Averaging** Investing equal amounts of money at regular intervals on an ongoing basis. This technique ensures that an investor buys fewer shares when prices are high and more shares when prices are low.

**Earnings per Share** A company's earnings divided by the number of common shares outstanding.

**Efficient Market** The theory that stock prices reflect all market information that is known by all investors.